# Fabio Franceschini

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## Fields of Interest

Macro-Finance, Empirical Asset Pricing, Economic Growth, Green Finance

## References

**M. Gonzalez-Eiras**
Associate Professor
*University of Bologna*

**P. Peretto**
Full Professor
*Duke University*

**L. Trapani**
Professor of Econometrics
*University of Pavia*

## Education

**PhD in Economics** **2024**
*University of Bologna*, Italy
Advisors: M. Gonzalez-Eiras, M. M. Croce

**Visiting Student** at *London Business School*, UK 2022-23
Host: H. Kung

*Health-related leave (May 2021 – Mar 2022)*

**Visiting Student** at *Bocconi University*, IT (Virtual) 2020-21
Host: M.M. Croce
Coursework: Advanced Topics in Asset Pricing (A+),
Econometric Methods for Finance and Macro (A-)

**Visiting Student** at *Vienna Graduate School of Finance*, AT (Virtual) 2020
Host: C. Wagner

**MSc in Advanced Economics and Finance** **2018**
*Copenhagen Business School*, Denmark

**Credit Student** at *University of Copenhagen (DIKU)*, DK 2017
Courses: Machine Learning, Natural Resources Economics

**BSc in Business Administration** **2016**
*University of Bologna*, Italy

**HSD in Mechanical Engineering** **2013**
*I.I.S. Aldini Valeriani*, Italy

## Academic positions

**Research Fellow** **2024-2025**
*University of Bologna*, Italy

## Job Market Paper

**The Social Cost of Carbon in Asset Prices: Emissions as Long-Run Risk**

This paper recovers the social cost of carbon from a global cross-section of asset returns. I show that this is feasible as long as exposure to global emissions shocks earns a risk premium, which, in turn, requires the shocks to affect economic activity in the long run and agents to prefer early resolution of uncertainty. The premium then reflects how investors value the effects of emissions along the entire future consumption path. I provide empirical evidence that both conditions hold, with emissions shocks identified as innovations to the Earth's energy imbalance, the driver of future warming in climate models, net of weather and economic activity. Their effects on world output and consumption materialize beyond business-cycle horizons, and exposure to them does carry a significantly negative risk premium across test assets spanning multiple asset classes, corroborating their role as a source of long-run risk. Under conventional preference parameterizations, the 2025 social cost of carbon is estimated at \$100 to \$1,000 per tonne of $CO_2$ (2020 US dollars), with significant variation over time.

## Publications

**The Innovation Long-Run Risk Component**

*Journal of Monetary Economics*, 2026, Vol. 163

[ABS: Class 4; SJR: 7.9 - Q1 in 'Finance']

## Working papers

**Does CAPM Overestimate Risk or Its Price More?**

**Are You Betting On Sustainability?**

## Research in progress

**Uncertain Innovation**

with *A. Renzetti*

**State-Dependent Asset Pricing Models**

with *E. Ossola* and *L. Trapani*

**Local Physical Climate Uncertainty**

with *G. Cavaliere* and *L. Fanelli*

## Teaching experience

**Teaching Assistant**

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|---|---|
| Asset Pricing (Grad), TA to G. Camera and M. Eiras<br>*University of Bologna,* Italy | 2021-27 |
| Financial Econometrics (Grad), TA to G. Moramarco and E. Bacchiocchi<br>*University of Bologna,* Italy | 2024-27 |
| Financial Economics (UGrad), TA to G. Camera<br>*University of Bologna,* Italy | 2020 |
| Macroeconomics 2 (UGrad), TA to A. Sørensen<br>*Copenhagen Business School,* Denmark | 2018 |

## Professional Experience

**Research Assistant** 2017
*Copenhagen Economics A/S,* Denmark *(9 mo.)*

**Planning and Control Intern** 2014
*Bologna Local Health Authority,* Italy *(3 mo.)*

## Academic service

**Refereeing**

*Ecological Economics, Economic Modelling*

**Organization**

Scientific committee member, Bologna Macro Meeting 2025
*University of Bologna,* Italy

Organizer, Reading Group in Macro-Finance 2019-21
*University of Bologna,* Italy

**Representation**

Research Fellows Representative, Council of Department 2024
*University of Bologna,* Italy

PhD Students Sole representative, Council of Department 2019-22
*University of Bologna,* Italy

**Memberships**

Italian Financial Economists Association 2025-Now

## Grants and honors

"INFER Young Economist Award" – Finalist, INFER Annual Conference 2025

"Marco Polo Mobility Scholarship", University of Bologna 2022-23

"PhD Scholarship", University of Bologna 2018-23

"Er.Go Scholarship", Regional Authority for the Right to Higher Education 2013-16

"Best laboratory report", Laboratory of Excellence 'Aldini-Ducati' 2012

## Presentations

2026: "International and Monetary Economics Network" seminar series; FinEML Conference** (University of Geneva, CH); University of Bologna (IT); RCEA International Conference** (Comillas Pontificia University, ES); UCSC (Milan, IT); 2nd CAM-Risk Conference (University of Pavia, IT); University of Milano-Bicocca (IT)

2025: 3rd Sustainable Finance Workshop (University of Venice, IT) 27th INFER Annual Conference (Sapienza University, IT); 11th ICEEE** (University of Palermo, IT); 2nd Climate-Macro-Finance Interface Conference (Bayes Business School, UK); University of Milano-Bicocca (IT); "GrEnFiN Frontiers" seminar series

2024: University of Bologna (IT); "INSPIRE" seminar series

* planned; ** by coauthor

## Relevant IT skills

Advanced: LaTeX, R

Basic: Matlab, Python, MS Excel, Stata, MS Access

9th November 2026